

RISK MANAGEMENT TECHNIQUES

Let us take a look at the different techniques and tools that we will be used to manage risks. There are many ways to manage risks and we can get creative here as well till the time we can protect our portfolio from circumstances mentioned on the previous page. We will mainly be managing risk using these techniques. We will understand each of these by one and then we will be ready to start practising and then executing in the live markets.

STOP LOSSES

ONE PERCENT RULE

HEDGING OF POSITIONS

DIVERSIFICATION

CHECKING FOR DRAWDOWNS

CHECKING FOR UNLIMITED LOSSES